

Take-Two Interactive Software, Inc.

Recommendation BUY

Price USD 138.91 [as of market close Nov 03, 2023] 12-Mo. Target Price USD 166.00

Report Currency USD Investment Style Large-Cap Value

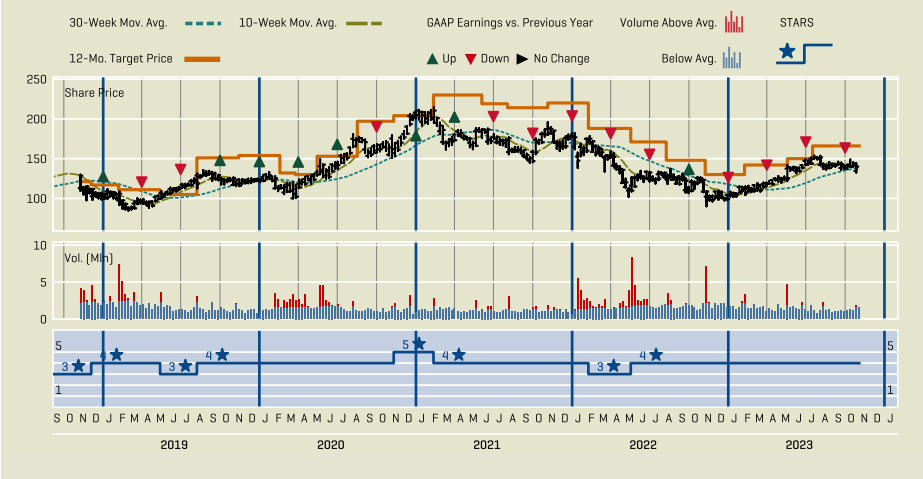
Equity Analyst Shreya Gheewala

GICS Sector Communication Services Sub-Industry Interactive Home Entertainment

Summary Take-Two is a leading developer of video games, with a particularly strong position in more immersive content developed for consoles.

Key Stock Statistics [Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports]							
52-Wk Range	USD 153.84 - 90.0	Oper.EPS2024E	USD 3.51	Market Capitalization[B]	USD 23.35	Beta	0.69
Trailing 12-Month EPS	USD 3.11	Oper.EPS2025E	USD 8.10	Yield [%]	N/A	3-yr Proj. EPS CAGR[%]	38
Trailing 12-Month P/E	44.69	P/E on Oper.EPS2024E	39.58	Dividend Rate/Share	N/A	SPGMI's Quality Ranking	C
USD 10K Invested 5 Yrs Ago	10,821.0	Common Shares Outstg.[M]	170.00	Trailing 12-Month Dividend	N/A	Institutional Ownership [%]	86.0

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by Shreya Gheewala on Aug 11, 2023 01:19 PM ET, when the stock traded at USD 139.44.

Highlights

- We project a 24% CAGR in net bookings over the next three years, primarily fueled by the acquisition of Zynga, a mobile and casual game developer, and new title releases. FY 2024 [Mar.] indicates 6% growth, with subsequent projections of 43% in FY 2025 and 3% in FY 2026. The growth is increasingly driven by the titles of Grand Theft Auto [GTA] VI, optimized for new console hardware [Xbox Series X and PS5], as well as VR adaptations of GTA, NBA 2K, Red Dead Redemption [RDR], and other immersive games in TTWO's portfolio.
- We expect gross margin to exceed 65% in FY 2024 and FY 2025, up from 60% in FY 2023, driven by the shift to higher-margin digital distribution. Despite minimal impact on growth, the Zynga acquisition and cross-selling opportunities are projected to generate significant synergies, improving the EBITDA margin to 25% by FY 2025, compared to 15% in FY 2023.
- We note TTWO's net debt position of \$1.8 billion and project a decline in free cash flow [FCF] generation to \$160 million in FY 2024 from - \$203 million in FY 2023, due to ongoing investments in the digital market, with opex at 69% of net revenues in Q1 2024. We see a substantial rise of FCF to \$1.1 billion in FY 2025.

Investment Rationale/Risk

- Our Buy rating reflects TTWO's robust content pipeline, anticipated stability in mobile revenues in 2H, and positive industry trends such as an initial boost in player engagement during the pandemic (although it's tapering off). We also see benefits from rising disposable incomes in emerging economies, and enhanced gaming experience for next-gen consoles [Xbox Series X and PS5], and growing virtual reality [VR] adoption due to declining headset prices.
- We note operational risks during the ongoing integration process of the Zynga acquisition and rising operating expenses impacting bottom-line growth. There is also the concern of TTWO heavily depending on a handful of franchises like GTA, RDR, and the NBA 2K series. The top five selling franchises account for a significant portion of its revenues [85% in FY 2023], making their underperformance detrimental to both top-line revenue and profitability.
- Our 12-month target of \$166 is based on a P/E of 25.5x our CY 2024 EPS estimate of \$6.50, below peers and the three-year historical forward average of 27.7x reflecting stretched debt levels offset by new game title releases.

Analyst's Risk Assessment

LOW MEDIUM HIGH

Our risk assessment reflects our concerns regarding consumer discretionary spending and the unpredictability of video game sales, still an inherently hit-driven business despite moves by video game content developers to cultivate more sources of recurring revenue. With its smaller portfolio of games vs. EA and Activision Blizzard, we see TTWO as carrying higher risk than its larger, more diversified peers in the industry.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2025	E 1,479	E 1,856	E 2,520	E 2,159	E 8,014
2024	1,285	E 1,489	E 1,474	E 1,419	E 5,611
2023	1,102	1,394	1,408	1,446	5,350
2022	813	858	903	930	3,505
2021	831	841	861	839	3,373
2020	540	858	930	761	3,089

Earnings Per Share (USD)					
	1Q	2Q	3Q	4Q	Year
2025	E 1.02	E 1.85	E 2.95	E 2.28	E 8.10
2024	0.30	E 1.19	E 0.94	E 0.96	E 3.51
2023	0.74	1.32	0.86	0.63	3.55
2022	1.01	1.63	1.32	1.18	5.41
2021	2.30	2.01	1.25	1.43	7.16
2020	0.27	2.01	1.70	1.50	5.32

Fiscal Year ended Mar 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

No cash dividends have been paid in the last year.



Take-Two Interactive Software, Inc.

Business Summary Aug 11, 2023

CORPORATE OVERVIEW. Take-Two Interactive Software, Inc. (TTWO) is a leading global interactive entertainment company that develops, publishes, and distributes video games across various platforms. Its products are designed for consoles manufactured by Sony Computer Entertainment (SONY), Microsoft (MSFT), and Nintendo (NTDOY), as well as personal computers (PC), and mobile devices. Established in 1993, TTWO has become renowned for its high-quality and innovative gaming experiences. The company's diverse portfolio includes well-known franchises such as Grand Theft Auto (GTA), Red Dead Redemption (RDR), NBA 2K, and BioShock, among others.

TTWO operates through multiple labels, including Rockstar Games, 2K, and T2 Mobile Games. Rockstar Games is popular for its open-world action-adventure titles, while 2K specializes in sports simulations, strategy games, and other genres. T2 Mobile Games further enhance TTWO's development capabilities of producing multiple hits in the free-to-play mobile sector. This diversified approach enables the company to cater to a broad audience and adapt to evolving market trends. TTWO has development studios in Australia, Canada, China, Czech Republic, Hungary, India, Spain, the United Kingdom, and the United States.

TTWO's success is not only driven by its game development expertise but also by its ability to capitalize on new business models and distribution channels. The company has embraced the shift towards digital distribution and online engagement, offering digital copies of its games, in-game purchases, and live services. Digital online channels comprised 95.1% of net revenues in FY 2023 and are expected to continue to be a significant part of TTWO's revenue model. Additionally, TTWO has ventured into the world of e-sports, organizing tournaments and leagues to engage with the growing competitive gaming community.

CORPORATE STRATEGY. TTWO's strategic partnerships and licensing agreements have helped expand its reach and explore new opportunities. Collaborations with major sports leagues and organizations have allowed the company to create authentic sports experiences, while partnerships with renowned studios and content creators have facilitated the development of unique and captivating games.

TTWO completed its most recent combination with Zynga, a leading developer of mobile games, on May 23, 2022. We believe the merger enriches TTWO's positioning as one of the largest publishers of mobile games. The mobile gaming industry is one of the fastest growing segments of the interactive entertainment industry with an expected CAGR of 5% from 2022-2027. Other notable acquisitions for TTWO in FY 2023 include Dynamixyz, elite3D, Nordeus, and Roll7.

MARKET PROFILE. TTWO holds a prominent position in the global interactive entertainment industry. With a diverse portfolio of highly acclaimed games and a reputation for delivering immersive gaming experiences, TTWO has established itself as a leading player in the market. The company's franchises, such as GTA, RDR, and NBA 2K, have achieved remarkable commercial success and garnered a loyal fan base worldwide. GTA V sold-in over 180 million units worldwide, and RDR 2, which has been a critical and commercial success that set many entertainment industry records, sold-in more than 53 million units worldwide in FY 2023. International sales also play a significant role in TTWO's business operations. In FY 2023, FY 2022, and FY 2021, the company generated 37.2%, 40.1%, and 40.2% of its net revenue, respectively, from markets outside the United States. TTWO remains committed to executing its growth strategies in Asia, with a particular focus on expanding product distribution and enhancing its online gaming presence in key markets such as China and South Korea. Its subsidiary, 2K, has secured a license to develop an online version of the NBA simulation game, NBA 2K, in key Asian markets, with NBA 2K Online already achieving significant success in China with over 56 million registered users. Rockstar has also confirmed the active development of the next entry of the GTA franchise and expresses great anticipation for FY 2025 in its FY 2023 earnings report, which has spurred much excitement from players and investors.

FINANCIAL TRENDS: Over the past three years, TTWO has demonstrated strong financial performance and positive trends. The company has experienced steady revenue growth driven by the success of its flagship franchises (GTA, NBA, and RDR). FY 2023 net revenues increased 53% Y/Y to \$5.3 billion, \$4.1 billion from recurrent consumer spending, and the remainder from full-game and other sales. We believe that TTWO aims to have recurrent consumer spending opportunities for every game title as it helps ensure consistent revenue streams and enables margin expansion to drive earnings growth. The portion of revenue generated from recurrent consumer spending, encompassing subscriptions to game bundles, online play, e-sports, and in-game purchases of digital items, witnessed a significant rise from 65% in FY 2022 to 78.1% in FY 2023. However, TTWO has experienced fluctuating net bookings growth since 2015 due to the video game industry's heavy reliance on blockbuster titles.

Growth rates have varied widely, with notable Y/Y growth of 47% and 22% in 2019 and 2017, respectively, as well as declines of 31% and 6% in 2014 and 2015, respectively. In FY 2022, TTWO saw a 4% decline Y/Y in net bookings, followed by a 53% increase in FY 2023. TTWO saw a net loss of \$1.12 billion in FY 2023 as compared to net income of \$418 million in FY 2022. The net loss included an impairment charge of \$465.3 million for acquisition-related intangible assets and an impairment charge of \$79.1 million related to capitalized software development costs for unreleased and canceled titles.

Corporate information

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Fax N/A	
Website www.take2games.com	
Officers	
Executive Chairman & CEO S. H. Zelnick	President K. Slatoff
Chief Financial Officer L. Goldstein	Executive VP & Chief Legal Officer D. P. Emerson
Board Members	
E. F. Siminoff	P. E. Viera
J. J. Moses	R. A. Hernandez
L. Srinivasan	S. H. Zelnick
M. Dornemann	S. M. Tolson
M. Sheresky	W. B. Gordon
Domicile Delaware	Auditor Ernst & Young LLP
Founded 1993	
Employees 11,580	
Stockholders 345	



Take-Two Interactive Software, Inc.

Quantitative Evaluations						Expanded Ratio Analysis					
Fair Value Rank	NR	1	2	3	4	5	2023	2022	2021	2020	
LOWEST						HIGHEST	Price/Sales	3.57	5.12	6.06	4.38
Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].							Price/EBITDA	16.34	26.79	27.01	27.41
							Price/Pretax Income	NM	38.58	30.16	29.53
							P/E Ratio	33.56	28.42	24.68	22.30
							Avg. Diluted Shares Outstg. [M]	159.90	116.80	115.70	114.14
							Figures based on fiscal year-end price				
Fair Value Calculation	N/A										
Volatility		LOW	AVERAGE	HIGH							
Technical Evaluation	BEARISH	Since November, 2023, the technical indicators for TTWO have been BEARISH"									
Insider Activity		UNFAVORABLE	NEUTRAL	FAVORABLE							
Key Growth Rates and Averages											
Past Growth Rate [%]								1 Year	3 Years	5 Years	
Net Income								NM	40.62	45.32	
Sales								52.64	20.09	24.44	
Ratio Analysis (Annual Avg.)											
Net Margin [%]								NM	2.79	6.79	
% LT Debt to Capitalization								13.83	4.61	2.77	
Return on Equity [%]								-17.50	4.75	10.17	

Company Financials Fiscal year ending Mar 31											
Per Share Data [USD]		2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Tangible Book Value		-19.24	18.31	18.97	14.97	8.76	3.25	1.55	1.81	2.73	5.92
Free Cash Flow		-1.27	0.86	7.36	5.59	6.86	3.69	4.29	2.69	2.03	7.93
Earnings		-7.03	3.58	5.09	3.54	2.90	1.54	0.72	-0.10	-3.48	3.20
Earnings (Normalized)		3.55	5.41	7.16	5.32	4.84	3.35	2.62	1.96	1.98	4.26
Dividends		N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Payout Ratio [%]		NM	NM	NM	NM	NM	NM	NM	NM	NM	NM
Prices: High		157.70	195.82	214.91	135.70	139.91	129.25	60.20	37.95	30.80	22.41
Prices: Low		90.00	133.54	114.66	87.97	84.41	57.36	33.06	23.30	18.45	14.08
P/E Ratio: High		44.40	36.20	30.00	25.50	28.90	38.50	23.00	19.40	15.60	5.30
P/E Ratio: Low		25.30	24.70	16.00	16.50	17.40	17.10	12.60	11.90	9.30	3.30
Income Statement Analysis [Million USD]											
Revenue		5,350	3,505	3,373	3,089	2,668	1,793	1,780	1,414	1,083	2,351
Operating Income		-430.00	544.00	668.00	425.00	209.00	151.00	111.00	83.00	-235.00	415.00
Depreciation + Amortization		1,597	126.00	88.00	69.00	64.00	67.00	37.00	29.00	21.00	17.00
Interest Expense		130.00	19.00	6.00	3.00	8.00	22.00	30.00	29.00	30.00	34.00
Pretax Income		-1,338	465.00	678.00	458.00	233.00	137.00	77.00	-38.00	-273.00	376.00
Effective Tax Rate		15.90	10.20	13.10	11.80	-43.40	-27.00	12.60	78.40	-2.40	3.80
Net Income		NM	418.00	589.00	404.00	334.00	174.00	67.00	NM	NM	362.00
Net Income [Normalized]		NM	331.20	423.30	289.90	147.00	95.30	59.90	33.10	NM	238.60
Balance Sheet and Other Financial Data [Million USD]											
Cash		1,014	2,552	2,732	2,002	1,571	1,424	1,392	1,270	1,098	935.00
Current Assets		2,508	3,871	4,221	3,493	2,828	2,409	2,195	2,045	1,780	1,399
Total Assets		15,862	6,546	6,028	4,949	4,243	3,738	3,149	2,590	2,228	1,800
Current Liabilities		3,852	2,105	2,235	2,039	1,952	1,727	1,686	1,220	966.00	475.00
Long Term Debt		1,733	N/A	N/A	N/A	N/A	8.00	252.00	498.00	473.00	454.00
Total Capital		12,530	4,060	3,523	2,716	2,041	1,497	1,256	1,079	1,036	1,256
Capital Expenditures		204.00	159.00	69.00	53.00	67.00	88.00	21.00	37.00	50.00	30.00
Cash from Operations		1.00	258.00	912.00	686.00	844.00	494.00	408.00	261.00	213.00	700.00
Current Ratio		0.65	1.84	1.89	1.71	1.45	1.40	1.30	1.68	1.84	2.95
% Long Term Debt of Capitalization		13.80	N/A	N/A	N/A	N/A	0.50	20.10	46.10	45.70	36.20
% Net Income of Revenue		-21.00	11.90	17.50	13.10	12.50	9.70	3.80	-0.60	-25.80	15.40
% Return on Assets		-2.40	5.41	7.61	5.78	3.28	2.75	2.43	2.16	-7.28	16.87
% Return on Equity		-17.50	11.70	20.10	17.70	18.90	13.90	8.50	-1.50	-41.00	52.00

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Take-Two Interactive Software, Inc.

Sub-Industry Outlook

Our fundamental outlook for the Interactive Home Entertainment (IHE) sub-industry for the next 12 months is positive. IHE encompasses various forms of media, including video games, streaming services, virtual reality (VR) and augmented reality (AR) experiences, interactive movies, and more. We have seen remarkable growth and innovation in the space in recent years, transforming the way people consume, interact with, and enjoy entertainment within their own living spaces. The video game segment is witnessing several significant trends. We saw consumer spend on gaming grow notably over the past few years due to pandemic lockdowns encouraging at-home entertainment options, before cooling down last year. While growth in 2021 has leveled off, it is not falling off, and we view the pandemic as having permanently boosted interest in the industry and commercial growth long term. While consumer spend shrinks, ad revenues are growing. We believe U.S. mobile gaming ad spending will grow 10.0% to \$6.28 billion in 2023 and continue to grow between 8% and 10% over the next few years. Esports ad revenues are also growing at around the same rate and will pass a quarter of a billion dollars in 2023.

AR and VR are revolutionizing the video game industry, propelling it into a new era of immersive and interactive experiences. The market for AR/VR gaming is witnessing remarkable growth, with total AR/VR headset shipments expected to grow 14% in 2023 and accelerate over our 2023-2027 forecast of a five-year CAGR of 32.6%, with the driving force of reduced VR headset prices and greater investment in technological advancements. We believe the future of AR/VR gaming looks promising, with the global market projected to reach a value of \$42.5 billion by 2023, fueled by the increasing availability of VR hardware and the development of innovative AR/VR gaming content.

Another driving force for growth in the industry is the growth of esports and competitive gaming, which have gained mainstream popularity, attracting large audiences and substantial

investments. Tournaments and leagues attract massive audiences, with professional players earning substantial incomes. Streaming platforms like Twitch and YouTube Gaming have become popular avenues for broadcasting live eSports events, creating a new form of spectator entertainment and fostering a vibrant community around competitive gaming. Cloud gaming and subscription services are also on the rise, enabling gamers to access a wide range of titles without the need for expensive hardware.

In-game monetization models, such as free-to-play (F2P) and microtransactions and digital games are becoming more prevalent and driving revenue growth. Digital distribution platforms like Steam, PlayStation Network, Xbox Live, and mobile app stores have supplemented traditional physical game sales with digital purchases and downloads. Digital games offer convenience, accessibility, and broader audience reach, resulting in increased revenue for developers and publishers by reducing or eliminating costs associated with physical production and distribution.

Year-to-date through September 29, the S&P Interactive Home Entertainment sub-industry increased 17% compared to a 10.9% increase for the S&P Composite 1500 Index. In 2022, the Interactive Home Entertainment sub-industry fell 3.6% compared to a 19.1% decline for the S&P 1500.

/ Shreya Gheewala

Industry Performance

GICS Sector: Communication Services
Sub-Industry: Interactive Home Entertainment

Based on S&P 1500 Indexes
Five-Year market price performance through Nov 04, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).
Past performance is not an indication of future performance and should not be relied upon as such.
Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Interactive Home Entertainment Peer Group*: Interactive Home Entertainment												
Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Take-Two Interactive Software, Inc.	TTWO	NasdaqGS	USD	137.50	23,352.0	-0.0	21.1	44.0	N/A	N/A	-13.2	21.8
Bilibili Inc.	BILI	NasdaqGS	USD	13.86	5,704.0	2.7	49.7	NM	N/A	N/A	-31.3	13.1
DoubleDown Interactive Co., Ltd.	DDI	NasdaqGS	USD	8.30	411.0	-1.2	-13.7	NM	N/A	N/A	-22.5	N/A
Electronic Arts Inc.	EA	NasdaqGS	USD	128.28	34,753.0	7.3	-0.3	18.0	109.61	0.6	12.9	19.9
GDEV Inc.	GDEV	NasdaqGM	USD	2.39	472.0	-11.8	-62.5	NM	N/A	N/A	28.2	N/A
Gravity Co., Ltd.	GRVY	NasdaqGM	USD	63.28	440.0	-2.7	48.2	4.0	N/A	N/A	37.6	N/A
HUYA Inc.	HUYA	NYSE	USD	3.34	804.0	19.3	75.8	NM	N/A	N/A	-3.6	N/A
Playtika Holding Corp.	PLTK	NasdaqGS	USD	8.54	3,130.0	-12.9	-6.8	10.0	N/A	N/A	-119.3	110.1
Roblox Corporation	RBLX	NYSE	USD	33.56	20,699.0	18.1	-21.7	NM	N/A	N/A	-320.8	52.8
SciPlay Corporation	SCPL	NasdaqGM	USD	22.94	488.0	0.8	66.7	23.0	N/A	N/A	26.9	N/A
Sea Limited	SE	NYSE	USD	41.35	23,435.0	-2.9	-12.5	26.0	30.88	N/A	4.5	30.3

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Take-Two Interactive Software, Inc.

Analyst Research Notes and other Company News

August 09, 2023

12:49 AM ET... CFRA Maintains Buy Opinion on Take-Two Interactive Software, Inc. [TTWO 145.10****]:

We keep our 12-month target price at \$166 based on a P/E of 25.5x of our CY 24 EPS view of \$6.50, below peers and the three-year historical average of 27.7x, reflecting increasing expenses offset by growth prospects from new title launches. We reiterate our FY 23 [Mar.] EPS estimate of \$3.51 and FY 24's of \$8.10. TTWO posts Jun-Q EPS of \$0.30 vs. \$0.74, missing consensus by \$0.07. Revenue rose 17% to \$1.28B, led by 29% recurrent consumer spending growth from franchises like GTA Online, NBA 2K23, and GTA V. Net bookings rose 20% to \$1.20B with recurrent spending up 38%, showing continued success of TTWO's digital content. However, higher opex weighed on profitability. FY 24 release slates are diversified with releases of Star Wars Hunters, NBA 2K24, and WWE 2K24. We expect the release of GTA VI in FY 25 to boost net bookings by +\$3B, contributing to the +\$8B in net bookings that management says it expects in FY 25. We remain bullish on TTWO's ability to drive engagement with new releases and additional content. / Shreya Gheewala

July 17, 2023

05:00 PM ET... CFRA Maintains Buy Opinion on Shares of Take-Two Interactive Software, Inc. [TTWO 152.71****]:

We lift our 12-month target to \$166 from \$150, based on a P/E of 25.5x our CY 24 EPS estimate of \$6.50, below peers and the three-year historical average of 27.7x reflecting stretched debt levels offset by growth prospects from Zynga. We keep our FY 24 [Mar-Q] EPS view at \$3.51 and raise FY 25's to \$8.10 from \$7.90. TTWO has a solid pipeline of games and secular tailwinds from digital/recurring revenues [now 70%+ of bookings]. FY 24 release slates are diversified with releases of Star Wars Hunters, NBA 2K24, and WWE 2K24. We expect the release of GTA VI in FY 25 to boost net bookings by +\$3B, contributing to the +\$8B in net bookings that management says they expect to earn in FY 25. We also see upside driven by new IP success, live services and mobile growth, and operating leverage. We note TTWO's net debt position of \$1.3B and project a decline in FCF to \$175M in FY 24 due to ongoing investments in the digital market [130% increase in opex in Mar-Q] but see a substantial rise of FCF to \$1.4B in FY 25. / Shreya Gheewala

May 19, 2023

05:14 PM ET... CFRA Maintains Buy Opinion on Shares of Take-Two Interactive Software, Inc. [TTWO 137.43****]:

We raise our 12-month target price by \$8 to \$150, 42.7x our FY 24 [Mar.] EPS estimate, a premium to its three-year historical average P/E at 37.8x, reflecting our long-term growth outlook and positive underlying industry trends. We trim our FY 24 EPS estimate by \$2.00 to \$3.51 and increase FY 25's by \$0.94 to \$7.90. TTWO reported Mar-Q operating EPS of \$0.63 vs. \$1.18, \$0.04 below the consensus. Mar-Q revenue increased 56%, with recurring consumer revenue growing 94%. Net bookings increased 65%, driven by Zynga and Grand Theft Auto Online, while digitally delivered net bookings increased 76%. During the quarter, 78% of console game sales were delivered digitally, up from 75% last year. This trend is expected to continue and bodes well for TTWO's future growth. / Keith Snyder

February 08, 2023

12:33 PM ET... CFRA Maintains Buy Rating on Shares of Take-Two Interactive Software, Inc. [TTWO 110.93****]:

We raise our target by \$12 to \$142 on: 1) poor FY 3Q23 [Dec-Q] results, again, with a consensus miss on EPS for the third quarter in a row after 23 quarters with only one miss; 2) lower guidance, reflecting release delays and FX headwinds; 3) reasonable valuation at a fwd. P/E of 24.5x vs. 5-year mean of 28.6x, especially considering the upside potential of GTA VI and future VR-based GTA franchise titles. Our target is a product of our EPS forecast for '25 of \$6.96, down \$1.54 and rolled forward from '24, and a 20.4x P/E [6-month mean, -13% due to Zynga integration risk, erratic recent results, and 2.4B in net debt, partially offset by the GTA brand and a history of strong cash flow generation]. Net bookings of \$1.38B, +60% Y/Y due to Zenga, missed consensus by \$72M; EPS of \$0.86 fell 35% Y/Y and missed by \$0.02. We also cut our EPS forecasts for '23 by \$0.59 to \$3.75 and for '24 by \$0.69 to \$5.51. Indeed, video games are hit-driven and volatile, but TTWO looks attractive here for patient investors, in our view. / John Freeman

November 08, 2022

01:05 PM ET... CFRA Maintains Buy Rating on Shares of Take-Two Interactive

Software, Inc. [TTWO 98.78****]:

We cut our target by \$18 to \$130 on: 1) poor FY 2Q23 [Sep-Q] results, below consensus though within guidance and slightly above our forecasts for both revenue and EPS, and we note this follows a miss in the Jun-Q also; 2) lowered guidance reflecting lower mobile revenue, release delays, and FX headwinds; 3) attractive valuation at a forward P/E of 20.7x vs. the 5-year mean of 29.2x, especially considering the GTA franchise and its considerable upside potential with future VR-based titles, in our view. Our target is a product of our EPS for '24 of \$6.20, now \$0.61 lower, and a 20.9x P/E [6-month mean, -9% due to Zynga integration risk, erratic recent results, and 2.4B in net debt, partially offset by the GTA brand and TTWO's history of strong cash flow generation]. Net bookings of \$1.51B, +53% Y/Y due to the Zenga acquisition, missed consensus by \$33M; EPS of \$1.32 fell 19% Y/Y and missed by \$0.07 [but \$0.01 above our forecast]. We cut our EPS forecasts for '23 by \$0.59 to \$4.34 and for '25 by \$0.83 to \$8.50. / John Freeman

August 09, 2022

12:17 PM ET... CFRA Maintains Buy Rating on Shares of Take-Two Interactive Software, Inc. [TTWO 121.86****]:

We cut our target by \$23 to \$148 but keep our Buy based on: 1) attractive valuation at a fwd. P/E of 22.1x vs. the 5-year mean of 29.4x, considering the still very popular GTA franchise and its considerable upside potential with future VR-based titles, in our view; and 2) disappointing FY 1Q23 [Jun-Q] results, well below consensus and our expectations, but we note this follows several quarters of strong operational execution in what was expected to be a down year in a still hit-driven industry despite 73% of TTWO's revenue being recurring in the Jun-Q. Our \$148 target is a product of our EPS forecast for '24 of \$6.81, now \$0.29 lower, and a 21.8x P/E [6-month mean, -4% due to Zynga integration risk and 2.4B in net debt, partially offset by a history of strong cash flow generation]. Net bookings of \$1.00B, +41% Y/Y due to the Zenga acquisition, missed consensus by \$109M; EPS of \$0.74 fell \$0.27 Y/Y and missed by \$0.13. We cut our EPS forecast for '23 by \$0.11 to \$4.93 but raise it for '25 by \$0.26 to \$9.33. / John Freeman

May 18, 2022

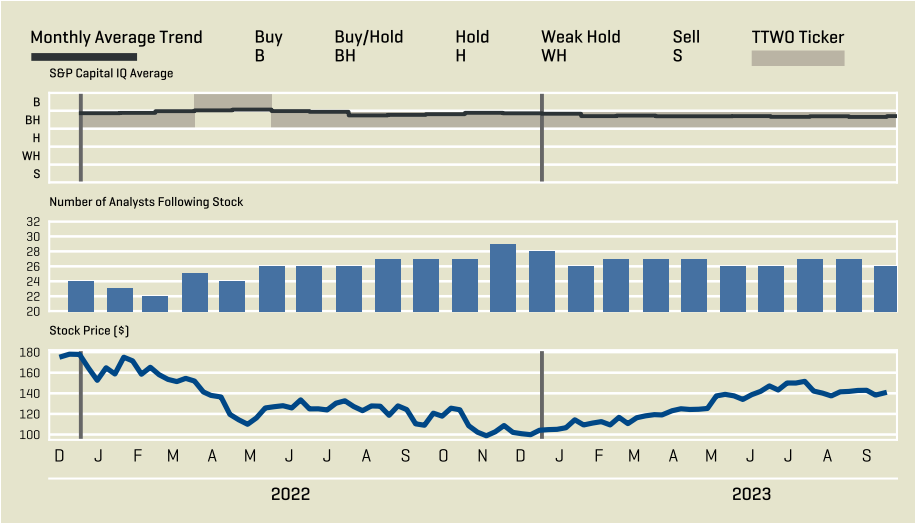
03:09 PM ET... CFRA Upgrades Shares of Take-Two Interactive Software, Inc. to Buy from Hold [TTWO 123.45****]:

We cut our target by \$17 to \$171 based on: 1) attractive valuation for TTWO, which, if MSFT purchase of AVTI gets reg approval, has the potential to be a strong #2 among independent console game publishers, with EA at #1; 2) solid results on EPS despite a revenue miss, demonstrating some operational agility; 3) partially offset by higher risk related to the pending Zynga acquisition, which presents a high chance of culture clash and potential integration issues, in our view, leaving little room for error in execution. Our \$171 target is a product of our EPS forecast for '24 of \$7.10, now \$0.96 lower and pulled forward from '23, and a 26.2x P/E [6-month mean, vs. our previous 3-year mean to better reflect a very different outlook for the company and its pending acquisition of Zynga, less 8% due to heightened Zynga deal risk]. Net bookings of \$846M, +8% Y/Y, missed consensus by \$39M; EPS of \$1.18, down \$0.17 Y/Y, beat by \$0.14. We cut our EPS forecast for '23 by \$1.36 to \$5.04 and initiate '25 at \$9.07. / John Freeman

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Take-Two Interactive Software, Inc.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	13	50	13	13
Buy/Hold	5	19	5	5
Hold	6	23	6	8
Weak hold	1	4	1	0
Sell	0	0	0	0
No Opinion	1	4	1	1
Total	26	100	26	27

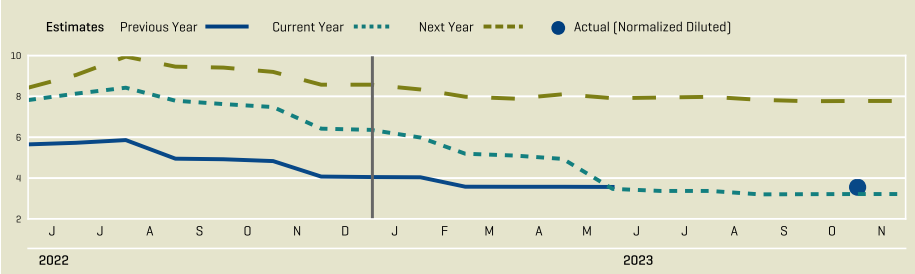
Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2024, analysts estimate that TTWO will earn USD 3.22. For fiscal year 2025, analysts estimate that TTWO's earnings per share will grow by 141.49% to USD 7.77.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2025	7.77	9.68	5.61	20	17.69
2024	3.22	3.56	2.88	20	42.73
2025 vs. 2024	▲ 141%	▲ 172%	▲ 95%	N/A%	▼ -59%
Q2'25	1.40	1.75	0.94	5	98.05
Q2'24	1.03	1.12	0.98	17	133.29
Q2'25 vs. Q2'24	▲ 36%	▲ 56%	▼ -4%	▼ -71%	▼ -26%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Take-Two Interactive Software, Inc.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes [paid in the country of origin].

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Take-Two Interactive Software, Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

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Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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Take-Two Interactive Software, Inc.

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